

Japan Daily Brief

Wednesday, September 9, 2026

1,650 words · 7 min read

RE: Yen rallies to 152 · Bessent warns traders · BOJ rate hike expected
 · Opposition splits · DPRK deploys nuclear destroyer · JASDF
 scrambles 5th straight day

NIKKEI 225

65,142.78

▲ +1.45%

USD/JPY

153.56

▼ -3.37%

BRENT

\$100.40

▲ +5.11%

BOJ RATE

1.25%

○ TODAY AT A GLANCE

- 1 US Treasury Secretary Scott Bessent warned currency traders not to bet against the yen — 'I am the house now' — after the dollar-yen touched 152, marking a 3.4% single-day yen rally.
- 2 North Korea commissioned the Kang Kon, its second Choe Hyon-class guided-missile destroyer in 75 days, declaring it part of Pyongyang's nuclear response system as Freedom Edge 2026 trilateral exercises commenced.
- 3 Japan's main opposition Centrist Reform Alliance formally voted to dissolve, with former CDP members forming a new party and ex-Komeito members returning to their original party.

○ TOP STORIES

ECONOMY-BOJ

Bessent dares traders: 'I am the house now' as yen touches 152

US Treasury Secretary Scott Bessent explicitly warned currency traders not to bet against the yen, declaring 'I am the house now' and citing inside-information-level market knowledge following July's rare joint US-Japan intervention to support the yen. The dollar-yen rate touched 152 on September 9, a 3.37% move, as BOJ wage data and GDP revisions reinforced expectations of an imminent rate hike.

per FT: "I am the house now": Bessent warns currency traders not to bet against yen"

FT

DPRK

North Korea commissions second Choe Hyon-class nuclear destroyer as Freedom Edge 2026 opens

North Korea commissioned the Kang Kon, its second Choe Hyon-class guided-missile destroyer — the same vessel that capsized at its May 2025 launch — within 75 days of the first commissioning, with Kim Jong Un declaring it part of Pyongyang's nuclear response system and pledging a nuclear-armed navy. The

commissioning coincided with the launch of Freedom Edge 2026 trilateral exercises involving the US, Japan, and South Korea near Jeju Island, drawing condemnation from North Korea's defense minister.

per stripes.com: "US, Japan and South Korea launch drills as North Korea unveils nuclear-capable warship - stripes.com"

STRIPES.COM

POLITICS-DIET

Japan's Centrist Reform Alliance formalizes dissolution; opposition landscape reshapes ahead of reshuffle

Japan's main opposition Centrist Reform Alliance formalized its dissolution plan on Wednesday, with former CDP members set to form a new party and ex-Komeito members returning to their original party; Bloomberg separately reported the collapse cements PM Takaichi's political dominance. The development arrives one week ahead of Takaichi's planned September 16 cabinet reshuffle, with the Japan Innovation Party expected to receive its first cabinet post.

per Mainichi: "Japan opposition alliance formalizes split plan after merger talks fail"

MAINICHI

OVERNIGHT

ALLIANCE Japan concealed US assessment on PFAS contamination near Okinawa bases — A source revealed that the United States, in past communications with the Japanese government about US military bases in Okinawa, conveyed its view that high PFAS levels were attributable to base activities — a position Japan failed to publicly disclose. The finding extends a persistent Okinawa basing controversy bearing on alliance management. · Mainichi

STAT OF THE DAY

4.7%

Japan July nominal wage growth — fastest in nearly 30 years

July nominal wages rose 4.7%, the fastest pace in nearly three decades, while real wages rose 2.4%, the largest gain since 2021, reinforcing market expectations of a BOJ rate hike.

Japan's July Nominal Wages Surge 4.7%, Fastest in Nearly 30 Years, Fueling September Rate Hike Expectations — finance.biggo.com

REGIONAL PRESSURE WATCH WATCH

Normal — 27 items (Japanese government: 13, adversary signal: 14)

PM Watch: PM appeared today · 0 day(s) since last confirmed appearance — PM Takaichi's government confirmed the September 16 cabinet reshuffle plan, and Chief Cabinet Secretary Kihara held the September 8 afternoon press conference announcing Japan's protest and impact-assessment response to China's dichlorosilane anti-dumping measures.

CHINA

The JASDF scrambled fighters for a fifth consecutive day in response to Chinese reconnaissance aircraft flights. China's Foreign Ministry Spokesperson Mao Ning's September 8 press conference reiterated Beijing's position that 'correctly addressing history is a benchmark for testing Japan's commitment to peaceful development,' extending the sustained historical-framing pressure campaign against Tokyo.

NORTH KOREA

North Korea commissioned the Kang Kon, its second Choe Hyon-class 5,000-tonne guided-missile destroyer in 75 days — the same vessel that capsized at its May 2025 launch — with Kim Jong Un declaring it integrated into Pyongyang's nuclear response system and pledging a nuclear-armed navy; North Korea's defense minister simultaneously condemned Freedom Edge 2026 and warned of consequences.

RUSSIA

The Kremlin formally rejected Tokyo's request to dismantle the WWII memorial statue in Khabarovsk depicting a Soviet soldier destroying a Japanese imperial border marker, extending the symbolic-provocation standoff that follows President Putin's Etorofu visit and Russia's August 21 Bastion missile live-fire from the disputed Northern Territories.

Senkaku / ECS: JASDF scrambled fighters for a fifth consecutive day in response to Chinese flights in the region; no new China Coast Guard territorial-water intrusion at the Senkakus is reported in today's articles beyond the sustained patrol baseline.

“Correctly addressing history is a benchmark for testing Japan's commitment to peaceful development”

Chinese Foreign Ministry Spokesperson Mao Ning · Correctly addressing history is a benchmark for testing Japan's commitment to peaceful development: FM spokesperson - Global Times

Bottom line: North Korea's second nuclear destroyer commissioning in 75 days — concurrent with Freedom Edge 2026's launch — marks a structural acceleration of DPRK naval nuclearization that directly affects Japan's sea-lane security calculus; watch for JASDF and JMSDF response posture adjustments and any MOD public statement.

○ PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE	VS PRIOR
JNN · Sep 7, 2026	62.5%	34.9%	
Nikkei · Sep 5, 2026	62%	32%	
Asahi · Sep 5, 2026	53%	33%	
ANN · Sep 5, 2026	55.4%	29.9%	
Kyodo · Sep 5, 2026	50.2%	33.9%	
Mainichi · Jul 20, 2026 · 51d ago	41%	44%	

Yomiuri · Sep 5, 2026	56%	32%
FNN · Sep 5, 2026	62.5%	32%
NHK · Sep 5, 2026	52.8%	33.2%
Jiji · Jul 16, 2026 · 55d ago	48.4%	26.9%

Discourse: The Centrist Reform Alliance's formal dissolution on September 9 cements PM Takaichi's parliamentary dominance heading into the September 16 cabinet reshuffle, while divergent poll readings — Nikkei at 62% versus Mainichi at 41% — reflect sharp house-effects on the Takaichi Cabinet's standing.

Poll tracker: **Observing Japan approval-rating aggregator** →

TRACKERS

UPCOMING

Sep
16

Takaichi Cabinet reshuffle

Prime Minister Takaichi's government confirmed a small-scale cabinet reshuffle planned for around September 16; the Japan Innovation Party is expected to receive its first cabinet post.

Sep
22

PM Takaichi to address UN General Assembly

Prime Minister Takaichi is confirmed to address the UN General Assembly on September 22 in New York; Japan is also seeking a bilateral Takaichi-Trump meeting in late September on the sidelines.

Sep
30

Takaichi-Trump bilateral talks (sought, late September)

Japan is seeking PM Takaichi-President Trump talks in late September, with Tokyo also monitoring a potential US-China summit; no confirmed date reported as of today.

Oct
21

One-year anniversary of Takaichi Cabinet (Oct 21, 2025)

The Takaichi Cabinet marks its first year in office around October 21; multiple outlets noted the approaching anniversary as reshuffle and coalition dynamics intensify.

Mar
31

Host-Nation Support Special Measures Agreement expiry (FY2026 end)

The current US-Japan Host-Nation Support Special Measures Agreement runs through March 31, 2027 at approximately ¥211 billion/year; this calendar-watch item tracks the negotiation horizon.

JAPANESE GOVERNMENT

KANTEI · CABINET · MOFA · MOD · METI · MOF · BOJ · WEDNESDAY, SEPTEMBER 9, 2026

外務省 · MINISTRY OF FOREIGN AFFAIRS · *Foreign Minister Toshimitsu Motegi*

Motegi urges Iran to exercise 'restraint' in vessel attacks during telephone talks

Foreign Minister Toshimitsu Motegi held telephone talks with his Iranian counterpart and urged Tehran to exercise restraint in its attacks on vessels amid tensions in the Strait of Hormuz area.

→ [Mainichi](#) ↗

防衛省 · MINISTRY OF DEFENSE · *Defense Minister Shinjiro Koizumi*

Defense Minister Koizumi cancels planned visit to Indonesia

Defense Minister Shinjiro Koizumi has decided to forgo a planned visit to Indonesia arranged for around Thursday, according to a source; no reason for the cancellation was provided in available reporting.

→ [Mainichi](#) ↗

防衛省 · MINISTRY OF DEFENSE (MOD) · *Vice Defense Minister Nakano*

Senior MOD official participates in multilateral conference on Ukraine support

Defense Vice Minister Nakano participated in a multilateral conference on Ukraine support, per MOD Japan announcement.

DIET SESSIONS / LDP

CENTRIST REFORM ALLIANCE (OPPOSITION)

CRA formalizes dissolution; ex-CDP members form new party, ex-Komeito members return to Komeito

Japan's main opposition Centrist Reform Alliance formally voted to dissolve on Wednesday after merger talks failed; members who came from the Constitutional Democratic Party are set to form a new party, while former Komeito members will return to their original party.

LDP / TAKAICHI CABINET

Japan Innovation Party (JIP) expected to receive first Cabinet post in upcoming September 16 reshuffle

The Japan Innovation Party is likely to receive its first Cabinet post in the upcoming reshuffle planned for around September 16, as Prime Minister Takaichi seeks to broaden her governing coalition base following the opposition's collapse.

○ US-JAPAN ALLIANCE & TRADE

US TARIFFS ON JAPAN

AUTOS · 2025 DEAL

15% (incl. MFN, 2025 agreement)

Steel

50%

SECTION 232

Aluminum

50%

SECTION 232

Investment framework: \$550B strategic investment framework (2025 agreement)

Section 301: 12.5% forced-labor tariff in force since Jul 24, 2026 (net of MFN); excess-capacity investigation ongoing

Deal: 2025 US-Japan agreement in force · Section 301 forced-labor tariff entered into force July 24, 2026; Section 122 surcharge expired July 24, 2026

◦ DIET WATCH

LDP / TAKAICHI CABINET

Cabinet reshuffle confirmed for September 16; continuity emphasized

Prime Minister Takaichi's government confirmed the cabinet reshuffle is planned for around September 16; Bloomberg reported Takaichi will prioritize continuity, and the Japan Times reported the Japan Innovation Party is likely to receive its first cabinet post.

WIRE

◦ BUSINESS & ECONOMY

SEMICONDUCTORS · REUTERS

Japan manufacturers' mood hits near 5-year high on semiconductor demand

Japanese manufacturers' business sentiment reached a near five-year high, driven by semiconductor demand, per Reuters reporting on the latest confidence survey. The result arrives as China's dichlorosilane anti-dumping measures introduce new supply-chain risk for chipmakers.

TECH · NIKKEI ASIA · TAMRON, SONY

Lens maker Tamron weighs Sony acquisition bid as Chinese rivals advance

Japan's Tamron is weighing a potential bid from Sony as Chinese competitors close in on the optical component market, illustrating consolidation pressure on mid-tier Japanese precision manufacturers.

◦ INDO-PACIFIC

INDO-PACIFIC · NIKKEI ASIA

Japan, India, Australia deepen ties hedging against potential US Quad retreat

Japan, India, and Australia are advancing trilateral security and economic coordination as insurance against possible US disengagement from the Quad framework, per Nikkei Asia.

KOREA-JAPAN · YONHAP

South Korea skips Sado mine memorial for third straight year, sustaining Japan-ROK historical friction

Seoul confirmed it will not attend the Sado Island gold mine memorial event for the third year running, prolonging a wartime labor dispute that periodically constrains Japan-ROK security cooperation.

◦ THE WIRE

INDO-PACIFIC

Australia's new Japan envoy publicly calls out China missile buildup and coercion

Australia's new ambassador to Japan directly called out China's missile buildup and coercive behavior, a public framing rare for incoming envoys that signals Canberra's alignment with Tokyo's security concerns. · Nikkei Asia

TECHNOLOGY

Sumitomo partners with Sakana AI to develop Japan-built AI model

ON THIS DAY

SEPTEMBER 8, 1951

The San Francisco Peace Treaty was signed, ending the Allied Occupation of Japan; the original US-Japan Security Treaty was signed the same day.

The 75th anniversary of the treaty framework underpinning the US-Japan alliance falls within 24 hours of today's date, as both governments negotiate alliance modernization and tariff terms.

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